

In 2009, a startup decided to try something really audacious. They wanted to liberate taxpayers from expensive tax stores by automating the process of collecting information typically found on W-2 forms (the end-of-year statement that most employees receive from their employer that summarizes their taxable wages for the year). The startup quickly ran into difficulties. Even though many consumers had access to a printer/scanner in their home or office, few knew how to use those devices. After numerous conversations with potential customers, the team lit upon the idea of having customers take photographs of the forms directly from their cell phone. In the process of testing this concept, customers asked something unexpected: would it be possible to finish the whole tax return right on the phone itself?

That was not an easy task. Traditional tax preparation requires consumers to wade through hundreds of questions, many forms, and a lot of paperwork. This startup tried something novel by deciding to ship an early version of its product that could do much less than a complete tax package. The initial version worked only for consumers with a very simple return to file, and it worked only in California.

Instead of having consumers fill out a complex form, they allowed the customers to use the phone's camera to take a picture of their W-2 forms. From that single picture, the company developed the technology to compile and file most of the 1040 EZ tax return. Compared with the drudgery of traditional tax filing, the new product—called SnapTax—provides a magical experience. From its modest beginning, SnapTax grew into a significant startup success story. Its nationwide launch in 2011 showed that customers loved it, to the tune of more than 350,000 downloads in the first three weeks.

This is the kind of amazing innovation you'd expect from a new startup.

However, the name of this company may surprise you. SnapTax was developed by Intuit, America's largest producer of finance, tax, and accounting tools for individuals and small businesses. With